EUROPEAN COMMISSION
DG Competition

Case M.11383 - COOPER / VIATRIS (EUROPEAN OTC BUSINESS)

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 09/12/2024

EUROPEAN COMMISSION

Brussels, 09.12.2024
C(2024) 8836 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Cooper Consumer Health S.A.S.
Place Lucien Auvert
77000 Melun
France

Dear Sir or Madam,

Subject: Case M.11383 – COOPER / VIATRIS (EUROPEAN OTC BUSINESS) Approval of Infectopharm as purchaser of the Otowaxol Divestment Business following your letter of 4 October 2024 and the Trustee's opinion of 22 November 2024

1. FACTS AND PROCEDURE

(1) By decision of 26 June 2024 (the "**Decision**") based on Article 6(1)(b) in conjunction with Article 6(2) of Council Regulation No 139/2004[1], the Commission declared the acquisition of sole control by Cooper Consumer Health S.A.S. ("**Cooper**", France)[2] over the European over-the-counter ("**OTC**") business of Viatris Inc. (the "**Target**", France and Italy) (together with Cooper, the "**Parties**") compatible with the internal market, subject to the conditions and obligations set out in the final Otowaxol commitments submitted on 24 June 2024 and annexed to the Decision (the "**Commitments**").[3]

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1 OJ L 24, 29.1.2004, p. 1 (the 'Merger Regulation'). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ('TFEU') has introduced certain changes, such as the replacement of 'Community' by 'Union' and 'common market' by 'internal market'. The terminology of the TFEU will be used throughout this decision.

2 Cooper is solely controlled by CVC Capital Partners SICAV-FIS S.A. ("CVC"), a private equity investment firm.

3 All defined terms in this decision shall have the same meaning as in the Commitments unless otherwise defined herein.

(2) In particular, under the Commitments, the Parties undertook to divest to a suitable purchaser or purchasers:

(a) The rights, title and interests in Bebegel including the right to develop, manufacture and use Bebegel, with a view to its sale and marketing in any form in Portugal and, at the purchaser's option, in France (the "**Bebegel Divestment Business**"); and

(b) The rights, title and interests in Otowaxol including the right to develop, manufacture and use Otowaxol, with a view to its sale and marketing in any form in Germany and, at the purchaser's option, in Ireland (the "**Otowaxol Divestment Business**").

(3) This decision concerns the approval of the proposed purchaser of the Otowaxol Divestment Business.

(4) By the reasoned proposal dated 4 October 2024 (the "**Reasoned Proposal**"), Cooper proposed InfectoPharm Arzneimittel und Consilium GmbH ("**InfectoPharm**", Germany) for approval by the Commission as purchaser of the Otowaxol Divestment Business. Cooper also submitted a copy of the proposed asset purchase agreement to the Commission which was entered into with InfectoPharm on 27 September 2024 (the "**Otowaxol APA**").

(5) The Otowaxol APA was amended on 21 November 2024 (the "**APA Amendment**"). The APA Amendment was submitted to the Commission on 22 November 2024. The Otowaxol APA as amended by the APA Amendment together with its schedules including a transitional services agreement between Meda Pharma S.p.A ("**Meda**"), a subsidiary of Cooper, and InfectoPham relating to the recertification process of Otowaxol[4] (the "**TSA**") and Form of Right to Use Viatris Names are referred to as the "**Transaction Documents**".

(6) The Otowaxol APA sets out the terms of the sale and transfer of the Otowaxol Divestment Business to InfectoPharm. The Transaction Documents are conditional on the Commission approving InfectoPharm as the purchaser of the Otowaxol Divestment Business.

(7) Under the Otowaxol APA, Cooper shall use its best efforts to obtain the necessary consent to assign the relevant parts of the manufacturing contract related to Otowaxol to InfectoPharm. The Otowaxol APA foresees a back-to-back arrangement between Cooper and InfectoPharm for a duration of up to three years in case an assignment cannot be obtained on substantially the same terms and conditions.

(8) On 22 November 2024, Monitoring Trustee Partners B.V. ("**MTP**"), acting as the monitoring trustee (the "**Trustee**"), submitted its assessment of InfectoPharm's suitability as a purchaser (the "**Reasoned Opinion**"). In particular, the Trustee indicated that it considers InfectoPharma to fulfil the criteria of the purchaser requirements set out in paragraph 16 of the Commitments. In this assessment, the Trustee also indicated that, on the basis of the Transaction Documents, the Otowaxol Divestment Business would be sold in a manner consistent with the Commitments.

[4] See paragraph (18) below.

2. ASSESSMENT OF THE PROPOSAL

(9) According to paragraphs 16 and 17 of the Commitments, the purchaser must fulfil certain criteria as provided below (the "**Purchaser Criteria**") and the divestment businesses are to be sold in a manner consistent with the Commitments, including their objective to bring about a lasting structural change in the market.

2.1. Assessment of the Purchaser Criteria

(10) As set out in paragraph 16 of the Commitments, the purchaser of the Otowaxol Divestment Business must fulfil the following criteria:

(a) The Purchaser(s) shall be independent of and unconnected to the Notifying Party and their Affiliated Undertakings (this being assessed having regard to the situation following the divestiture);

(b) The Purchaser(s) shall have the financial resources, proven expertise and incentive to maintain and develop the relevant Divestment Business as a viable and active competitive force in competition with Cooper and other competitors;

(c) The acquisition of the relevant Divestment Business by the Purchaser(s) must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the Purchaser(s) must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Businesses; and

(d) (…) the Purchaser of the Otowaxol Divestment Business must have a sales and marketing presence and access to an appropriate distribution network in Germany in the relevant sales channels (including wholesalers and pharmacies).

2.1.1. Description of the proposed purchaser

(11) InfectoPharm is a German family-owned pharmaceutical company focused on medicines and medical devices. Initially the company was focused on paediatric infectiology with a niche portfolio of unique oral liquid formulations of antibiotics for children. It has since expanded its portfolio to encompass several other paediatric products, as well as dermatology, otolaryngology, pneumology and allergology.

(12) Currently InfectoPharm's portfolio encompasses approximately 130 products. Besides medicines, the company also distributes medical devices, food supplements, and cosmetic products. The products marketed by InfectoPharm originate either from its own R&D activities or from cooperation with other pharmaceutical companies.

(13) InfectoPharm, with around 400 employees, has expanded internationally over that last decade, currently delivering to approximately 40 countries through subsidiaries, distribution partners, and tender businesses.

2.1.2. Independence from Cooper

(14) Pursuant to paragraph 16(a) of the Commitments, a suitable purchaser must be independent of and unconnected to Cooper and its affiliated undertakings.

(15) Based on the Trustee's review of information provided by Cooper and InfectoPharm, there are no common board directors, cross-shareholdings or other institutional ties between InfectoPharm and Cooper and its affiliated undertakings (including CVC portfolio companies), nor any material commercial or other relationships.

(16) One licence and supply agreement is in place between InfectoPharm and Genetic S.p.A. ("**Genetic**"), a contract development and manufacturing organisation ("**CDMO**") controlled by CVC. The licence and supply agreement relates to the product […]. The total input costs paid by InfectoPharm to Genetic for the supply of […]. Moreover, the annual sales of […] are expected to account for an insignificant share of InfectoPharm's overall turnover in the upcoming years.

(17) InfectoPharm and Cooper have confirmed that there are no additional collaboration agreements, joint-ventures, licensing agreements and acquisition or divestiture activities between InfectoPharm and any CVC portfolio companies (including Cooper).

(18) Pursuant to the TSA, Cooper (through its subsidiary Meda) will offer certain transitional services to InfectoPharm as part of the transfer of the Otowaxol Divestment Business. Otowaxol has been reclassified as a Class IIa medical device under the Medical Device Regulation[5] ("**MDR**"), and therefore needs to be recertified by a designated "notified body".[6] Meda has this approval for a transitional period potentially until December 31, 2028. A change in the registered legal manufacturer during the transitional period would likely terminate it and prolong the recertification procedure. Therefore, Otowaxol's recertification as a Class IIa device needs to be completed before InfectoPharm can assume legal manufacturer status. This recertification process, including submission of a technical file and inspections, typically takes around 18 months. Meda intends to submit necessary documentation by early 2025, aiming for recertification by mid-2026, and will in the meantime support InfectoPharm through the TSA, remaining the legal manufacturer and covering related costs during this period. Until the change of legal manufacturer, InfectoPharm will act as Otowaxol's distributor.

(19) The links arising from the TSA are temporary and are to be implemented to ensure the continuing viability of the Otowaxol Divestment Business. Furthermore, this arrangement will not enable Cooper or its affiliated undertakings to affect, directly or indirectly, InfectoPharm's strategic behaviour.

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5 Regulation (EU) 2017/745 of the European Parliament and of the Council 5 April 5, 2017 on medical devices, amending Directive 2001/83/EC, Regulation (EC) No 178/2002 and Regulation (EC) No 1223/2009 and repealing Council Directives 90/385/EEC and 93/42/EEC.

6 The final stage of the MDR certification process for a class IIa medical device is the release of the CE mark certificate by a "Notified Body" ("NB"). However, class I medical devices are CE marked based on a declaration of conformity submitted by the manufacturer (who is responsible for CE marking its own medical device following compliance with the necessary requirements), i.e. class I medical devices do not need to be certified by a NB, but higher risk class medical devices such as those in classes IIa, IIb and III do need to be certified by a NB.

(20) Based on its review, the Trustee has concluded that there are no structural and only certain limited commercial relationships between Cooper and its affiliated undertakings on the one side, and InfectoPharm, on the other side. The Trustee considers that the involved amounts related to the above-mentioned license and supply agreement are immaterial and that neither this nor the TSA impedes the independence of InfectoPharm from Cooper and its affiliated undertakings. Therefore, the Trustee concludes that InfectoPharm is sufficiently independent from Cooper and its affiliated undertakings.

(21) Based on the information above and the Trustee's Reasoned Opinion, the Commission concludes that InfectoPharm fulfils the purchaser criterion of being independent of and unconnected to Cooper and its affiliated undertakings.

2.1.3. Financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitor

(22) Pursuant to paragraph 16(b) of the Commitments, the purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Otowaxol Divestment Business as a viable and active competitive force in competition with Cooper and other competitors.

2.1.3.1. Financial resources

(23) In 2023, InfectoPharm's total consolidated sales reached […], an […] compared to the previous year. Its EBITDA for 2023 amounted to […], with an EBITDA margin of […]. Gross profit represented approximately […] of total sales.

(24) InfectoPharm's balance sheet reflects a consolidated equity of […] and a negative net financial debt position of […]. InfectoPharm has shown […] across key financial metrics, including sales, EBITDA, margin, equity, and net financial debt from FY 2021 through FY 2023.

(25) The acquisition of the Otowaxol Divestment Business will be funded […]. As of mid-October 2024, InfectoPharm held immediately available funds of […]. These resources are sufficient to support the acquisition and any working capital requirements of the Otowaxol Divestment Business.

(26) The Trustee deems InfectoPharm to have sufficient financial resources and capabilities to acquire the Divestment Business and to maintain and develop it going forward.

(27) Based on the information above and the Trustee's Reasoned Opinion on the financial situation of InfectoPharm, the Commission concludes that InfectoPharm fulfils the criterion of having the financial resources to maintain and develop the Otowaxol Divestment Business as a viable and active competitive force.

2.1.3.2. Proven experience

(28) InfectoPharm possesses over 35 years of experience in the German pharmaceutical market, managing relationships with otorhinolaryngology, or ear, nose and throat ("**ENT**") specialists and pharmacies in Germany. The company has also been active in the hospital sector.

(29) InfectoPharm is a marketing authorisation holder and distributor for over 130 products (medicines, medical devices, food supplements and cosmetics) and possesses an established distribution network. InfectoPharm is able to supply all German pharmacies via its network of third party pharmaceutical wholesalers, which is the main distribution channel for selling Otowaxol products.

(30) Other distribution channels for Otowaxol include e-commerce channels (*i.e.* e-pharmacies and Amazon). The Trustee understands that Otowaxol would continue to be available via these e-commerce channels, and that no relevant impact for the customers and, hence, for the viability of the Divestment Business, is to be expected.

(31) The Trustee notes that InfectoPharm possesses regulatory capabilities, having material knowledge of the underlying timelines, and has long term experience and know-how in the field of medical devices including also MDR certification processes.[7]

(32) In addition, InfectoPharm has prior experience in corporate carve outs and handling of transitional services. InfectoPharm recently acquired and integrated several OTC products in Germany including Eubiol (a OTC drug for the treatment of diarrhoea) and Verrucid (an OTC product for the treatment of warts, corns and calluses). From 2019 to 2024, InfectoPharm has completed 21 transactions with 25 products in total, including both acquisitions and licensing deals. In aggregate, these transactions included more than 100 marketing authorisations in different countries and more than 100 SKUs.

(33) The Trustee is satisfied that InfectoPharm has the required expertise as required by the Purchaser Criteria.

(34) Based on the information above and the Trustee's Reasoned Opinion, the Commission considers that InfectoPharm has the proven experience to maintain and develop the Otowaxol Divestment Business as a viable and active competitive force.

2.1.3.3. Incentive

(35) InfectoPharm has explained that it perceives Otowaxol as a strong brand and considers the Otowaxol Divestment Business a good match with the company's growth strategy as target groups of ENT specialists and pharmacies are already the focus target groups of InfectoPharm's operations, particularly in Germany, where it has a strong presence in the ENT segment.

(36) The Reasoned Opinion concludes that InfectoPharm has the incentive and objective to maintain and develop the Divestment Business as a viable and active competitive force. This conclusion is supported by the Otowaxol Divestment Business's ability to generate solid cash flows on a standalone basis, as illustrated in its business plan. Otowaxol also complements InfectoPharm's existing Rx and OTC portfolio, strengthening its ENT product range and aligning with its strategic goals.

[7] See paragraph (18) above, regarding the recertification of Otowaxol.

(37) Based on the information above and the Trustee's Reasoned Opinion, the Commission considers that InfectoPharm has the incentives to maintain and develop the Otowaxol Divestment Business as a viable and active competitive force.

2.1.4. Absence of prima facie competition problems or any risk of implementation delays

(38) Pursuant to paragraph 16(c) of the Commitments, the acquisition of the Otowaxol Divestment Business by the purchaser must neither be likely to create prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(39) With regard the competitive interactions between the Otowaxol Divestment Business and InfectoPharm:

(a) InfectoPharm's product portfolio does not include any products for earwax removal, and it is therefore not active in the manufacture or supply of pharmaceutical products in the same ATC4 class or with the same molecule as Otowaxol.

(b) InfectoPharm's current portfolio includes, amongst other products, two OTC ear drops products (OtoDolor and OtoAkut), both of which are included in the same broader ATC3 category S2D (Other Ear Preparations). However, these products are not comparable to Otowaxol as neither are used to remove excess earwax and earwax build-up but are instead intended for the treatment of otitis externa (inflammation of the external ear canal) or otitis otalgia (ear pain). In any case, InfectoPharm's increment in this broader ATC3 category S2D would be limited, below 3%, in Germany.

(c) InfectoPharm has confirmed that its acquisition of the Otowaxol Divestment Business will not result in any vertically affected markets.

(40) Based on information provided by InfectoPharm to the Trustee, InfectoPharm's acquisition of the Otowaxol Divestment Business does not require any merger control or other regulatory filings.

(41) The recertification process described above in paragraph (18) will not impact the implementation of the divestment.

(42) Based on the information available, the Trustee considers that the approval of InfectoPharm as the Purchaser of the Otowaxol Divestment Business would not create any *prima facie* competition concerns, nor would it give rise to a risk that the implementation of the Commitments will be delayed.

(43) Based on the information above and the Trustee's Reasoned Opinion, the Commission considers that InfectoPharm's acquisition of the Otowaxol Divestment Business would not create any *prima facie* competition concerns, nor would it give rise to a risk that the implementation of the Commitments will be delayed.

2.1.5. Sales and market presence, and access to an appropriate distribution network, in Germany

(44) Pursuant to paragraph 16(d) of the Commitments, a suitable purchaser must have a sales and marketing presence and access to an appropriate distribution network in Germany in the relevant sales channels (including wholesalers and pharmacies).

(45) As discussed in the Section 2.1.3.2 above, InfectoPharm is a marketing authorisation holder and distributor of over 130 products and is able to supply all German pharmacies via its network of third party pharmaceutical wholesalers, the main distribution channel for Otowaxol products. As noted above, Otowaxol products are also distributed via e-commerce channels. InfectoPharm already distributes several of its OTC products via e-pharmacies.

(46) In its Reasoned Opinion, the Trustee found that InfectoPharm fulfils the purchaser criteria as included in paragraph 16(d) of the Commitments.

(47) Based on this information and the Trustee's Reasoned Opinion, the Commission considers that InfectoPharm has the required sales and marketing presence, and access to an appropriate distribution network in Germany, in the relevant sales channels (including wholesalers and pharmacies).

2.1.6. Conclusion

(48) In view of the above, the Commission considers that InfectoPharm meets the purchaser criteria as laid down in paragraph 16 of the Commitments.

2.2. Transaction Documents

(49) Paragraph 17 of the Commitments states: "*Cooper must be able to demonstrate to the Commission that the purchaser(s) fulfils the Purchaser Criteria and that the Divestment Businesses is being sold in a manner consistent with the Commission's Decision and the Commitments*".

(50) As described above in paragraph (5), the Transaction Documents consist of the Otowaxol APA as amended by the APA Amendment and its schedules, which include the TSA and Form of Right to Use Viatris Names. The TSA and Form of Right to Use Viatris Names are in their agreed form and will be executed at the time of closing of the sale of the Otowaxol Divestment Business.

(51) The Commission has been provided with copies of the Transaction Documents. The Commission has reviewed the Transaction Documents and is satisfied that these enable the Otowaxol Divestment Business to be sold in accordance with the Commitments.

(52) The Trustee has also confirmed the terms of the Transaction Documents to materially reflect the Parties' obligations set out in the Commitments.

(53) With regard to the TSA which is not reflected in the Commitments, the Trustee notes that Cooper shall use its best efforts to support the recertification process of Otowaxol and will pay for all costs that will be incurred in this process.

(54) Based on the information above and the Trustee's Reasoned Opinion, the Commission concludes that the Transaction Documents are consistent with the Commitments, and that the Otowaxol Divestment Business is being transferred in a manner consistent with the Commitments.

3. CONCLUSION

(55) On the basis of the above assessment, the Commission approves InfectoPharm as a suitable purchaser of the Otowaxol Divestment Business for the above-mentioned reasons.

(56) On the basis of the Transaction Documents, the Commission further concludes that the Otowaxol Divestment Business is being sold in a manner consistent with the Commitments.

(57) This decision only constitutes approval of the proposed purchaser identified herein and of the Transaction Documents. This decision does not constitute a confirmation that the Parties have complied with their Commitments.

(58) This decision is based on paragraphs 16 and 17 of the Commitments attached to the Commission Decision of 26 June 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General